

SPECIAL BUSINESS AUTO ENHANCEMENT ENDORSEMENT

This endorsement modifies insurance provided under the following:

BUSINESS AUTO COVERAGE FORM

SCHEDULE

<u>Coverage</u>	<u>Limit(s) of Insurance</u>	<u>Page</u>
Airbag Accidental Deployment Coverage	Included in applicable Limit of Insurance	12
Audio, Visual, And Data Electronic Equipment Coverage	\$500 Any One Accident Or Loss	7
Auto Loan/Lease Gap Coverage	\$2,000	9
Blanket Additional Insured	Included in applicable Limit of Insurance	3
Broad Form Named Insured	Included in applicable Limit of Insurance	5
Camper Bodies Coverage	Included in applicable Limit of Insurance	9
Contents Of A Travel Trailer, Camper, Or Motor Home Coverage		9
– Inside	\$1,000 Any One Accident Or Loss	9
– Outside	\$250 Any One Accident Or Loss	9
Custom Signs And Decorations Coverage	\$500 Any One Accident Or Loss	10
Employee Hired Autos	Included in applicable Limit of Insurance	5
Fellow Employee Coverage – Managers, Officers, And Supervisors	Included in applicable Limit of Insurance	6
Glass Repair Deductible Waiver	Included in applicable Limit of Insurance	13
Hired Auto Physical Damage Coverage	\$50,000 Any One Accident Or Loss	10
Knowledge Of An Accident, Claim, Suit, Or Loss	Included in applicable Limit of Insurance	13
New Vehicle Replacement Cost Coverage	Included in applicable Limit of Insurance	11
Newly Acquired Or Formed Organizations	Included in applicable Limit of Insurance	5
Personal Effects Coverage	\$500	11
Rental Reimbursement Coverage Extension		6
– Any One Day	\$75	6
– Any One Period	\$2,250	6
– Number Of Days	30 Days	6
Return Of Stolen Covered “Autos” Expense Coverage Extension	Included in applicable Limit of Insurance	7
Supplementary Payments		5
– Bail Bonds Increased Limit	\$5,000	5
– Loss Of Earnings Increased Limit	\$500 Per Day	5
Tapes, Records, And Discs Coverage	\$200 Any One Accident Or Loss	12

Temporary Substitute Autos – Physical Damage Coverage	Included in applicable Limit of Insurance	3
Towing And Labor Broadened Coverage		6
– Private Passenger Type, Light Truck, Or Medium Truck Each Disablement	\$200	6
– All Other Vehicle Types Each Disablement	\$250	6
– All Other Vehicle Types Aggregate Limit	\$1,000	6
Trailers – Broadened Covered Autos Liability Coverage	Included in applicable Limit of Insurance	2
Transportation Expenses – All Covered Autos Broadened Coverage Extension		6
– Increased Limit Per Day	\$75	6
– Increased Maximum Limit	\$2,250	6
Unintentional Failure To Disclose Hazards	Included in applicable Limit of Insurance	13
Vacation Expense Allowance Coverage Extension		7
– Limit Per Day	\$50	7
– Maximum Limit	\$500	7
Waiver Of Transfer Of Rights Of Recovery Against Others To Us (Waiver Of Subrogation) – Automatic When Required By Written Contract Or Agreement	Included in applicable Limit of Insurance	13
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

The following provisions amend the insurance provided under the BUSINESS AUTO COVERAGE FORM, including any and all policy forms and/or endorsements attached to and made a part of this policy that modify the insurance provided by the BUSINESS AUTO COVERAGE FORM.

The Coverages provided in this endorsement apply only if they are shown in the Schedule above along with an associated Limit of Insurance.

A. TRAILERS – BROADENED COVERED AUTOS LIABILITY COVERAGE

Subparagraph 1. under paragraph **C. Certain Trailers, Mobile Equipment And Temporary Substitute Autos** as found in **SECTION I –COVERED AUTOS**: is deleted and replaced by the following:

1. “Trailers” designed primarily for travel on public roads:
 - a. With a registered Gross Vehicle Weight Rating (GVWR) of 3,000 pounds or less; or
 - b. With a registered Gross Vehicle Weight Rating (GVWR) of 15,000 pounds or less when:
 - (1) Pulled by an owned:
 - (a) Private passenger type “auto”;
 - (b) Light truck (0 – 10,000 pounds GVWR); or

- (c) Medium truck (10,001 – 20,000 GVWR),

shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations as a covered “auto” for Liability Coverage; and

- (2) Not used for business, farming, or ranching purposes; or

- c. With a registered Gross Vehicle Weight Rating (GVWR) of 7,500 pounds or less when:

- (1) Pulled by an owned:
 - (a) Private passenger type “auto”;
 - (b) Light truck (0 – 10,000 pounds GVWR); or
 - (c) Medium truck (10,001 – 20,000 GVWR),

shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations as a covered “auto” for Covered Autos Liability Coverage; and

- (2) Used for business, farming, or ranching purposes.

B. TEMPORARY SUBSTITUTE AUTOS – PHYSICAL DAMAGE COVERAGE

The following provision is added to **SECTION I – COVERED AUTOS**:

D. Temporary Substitute Autos – Physical Damage

1. If Physical Damage Coverage (Comprehensive Coverage, Specified Causes Of Loss Coverage, or Collision Coverage) is provided by this Coverage Form, the following types of vehicles are also covered “autos” for Physical Damage Coverage:

Any “auto” you do not own while being used with the permission of its owner as a temporary substitute for a covered “auto” you own that is out of service because of its:

- a. Mechanical or electrical breakdown;
 - b. Repair;
 - c. Servicing;
 - d. “Loss”; or
 - e. Destruction.
2. The Physical Damage Coverage that applies to the substitute “auto” is the same as the coverage provided for the covered owned “auto” being repaired, serviced, or replaced.
3. Physical Damage Coverage is extended to the temporary substitute “auto” for the lesser of the following number of days:
- a. The number of days reasonably required to repair, service, or replace the covered “auto” that is out of service; or
 - b. Thirty (30) days.

C. BLANKET ADDITIONAL INSURED

The following provision is added to subparagraph **1. Who Is An Insured** under paragraph **A. Coverage** as found in **SECTION II – COVERED AUTOS LIABILITY COVERAGE**:

d. Blanket Additional Insured

- (1) Any person(s) or organization(s) for whom you have agreed in writing in a contract or agreement that such person(s) or organization(s) be added as an additional insured on your policy.
- (2) The insurance afforded to such additional insured(s) described in paragraph (1) above:
 - (a) Only applies with respect to:
 - i. “Bodily injury” or “property damage”; or

- ii. Sums an “insured” legally must pay as a “covered pollution cost or expense”,

to which this insurance applies, caused by an “accident” and resulting from the ownership, maintenance, or use of a covered “auto”.

- (b) Only applies to the extent permitted by law.
 - (c) Only applies if the written contract or agreement is in effect during the policy period and was signed and executed by you before the “bodily injury” or “property damage” occurs or before an “accident” resulting in “covered pollution cost or expense” occurs.
 - (d) Will not be broader than that which you are required by the contract or agreement to provide for such additional insured.
- (3) With respect to the insurance afforded to such additional insured(s) described in paragraph (1) above, the following exclusions apply:
- This insurance does not apply to “bodily injury”, “property damage”, or “covered pollution cost or expense”:
- (a) Resulting from or arising out of the sole negligence of such additional insured(s);
 - (b) Occurring prior to the date the written contract or agreement was executed and in effect;
 - (c) After your written contract or agreement with such additional insured(s) ends;
 - (d) After the requirement in the written contract or agreement to add such person(s) or organization(s) as an additional insured on your policy ends; or
 - (e) That the additional insured would have in absence of the written contract or agreement.

- (4) With respect to the insurance afforded to these additional insureds, the following is added to paragraph **C. Limit Of Insurance** as found in **SECTION II – COVERED AUTOS LIABILITY COVERAGE**:

The most we will pay on behalf of the additional insured is the amount of insurance:

- (a) Required by the contract or agreement described in paragraph (1) above;
- (b) Available under the applicable Limit Of insurance for Covered Autos Liability Coverage shown in the Declarations,

whichever is less.

This endorsement will not increase the applicable Limit Of Insurance.

- (5) This Coverage does not apply to lessors of leased "autos" or transportation network companies.

- (6) With respect to the insurance afforded to these additional insureds, the following is added to subparagraph 5. **Other Insurance** under paragraph B. **General Conditions** as found in **SECTION IV – BUSINESS AUTO CONDITIONS**

- e. Regardless of the provisions of paragraph a. above, if other valid and collectible insurance is available to the additional insured for a "loss" we cover under this Coverage Form's Covered Autos Liability Coverage, our obligations are limited as follows:

- (1) This insurance is excess over any other valid and collectible insurance, whether primary, excess, contingent, or on any other basis, whether you can collect on it or not, unless you have specifically agreed in the written contract or agreement described in paragraph (1) above for this insurance to apply on a primary basis.

If you have specifically agreed in the written contract or agreement described in paragraph (1) above for this insurance to apply on a primary basis with respect to the additional insured, then we will consider this insurance to be primary. Our obligations are not affected unless any of the other insurance available to the additional insured is also primary. In such cases, this insurance will be primary and contributing with all such other primary insurance. We will share with all other primary insurance by the method of sharing described in paragraph (3) below.

If you have specifically agreed in the written contract or agreement described in paragraph (1) above

for this insurance to apply on a primary and noncontributory basis with respect to the additional insured, then we will consider any other valid and collectible insurance that is available to the additional insured to be excess and noncontributing with this insurance.

- (2) When this insurance is excess, we will have no duty to defend the additional insured against any "suit" if any other insurer has a duty to defend the additional insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the additional insured's rights against all those other insurers.

When this insurance is excess over other insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of:

- (a) The total amount that all such other insurance would pay for the loss in the absence of this insurance; and
- (b) The total of all deductible and self-insured amounts under all that other insurance.

We will share the remaining loss, if any, with any other insurance that is not described in this provision and was not bought specifically to apply in excess of the Limit Of Insurance shown in the Declarations.

- (3) If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the "loss" remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

BROAD FORM NAMED INSURED

The following provision is added to subparagraph 1. **Who Is An Insured** under paragraph A. **Coverage** as found in **SECTION II – COVERED AUTOS LIABILITY COVERAGE**:

- e. **Broad Form Named Insured**

Any organization, or any subsidiary of such organization, which is a legally incorporated

entity of which you own a financial interest of more than fifty (50) percent of the voting stock on the effective date of this endorsement with respect to any covered "auto". However, this paragraph **A.1.e.** does not apply to an "accident" or "loss" with respect to which an "insured" under this policy is also an "insured" under another policy, or would be an "insured" under such other policy but for its termination or upon the exhaustion of its limits of insurance, unless such other policy was written to apply specifically in excess of this policy.

E. NEWLY ACQUIRED OR FORMED ORGANIZATIONS

The following provision is added to subparagraph **1. Who Is An Insured** under paragraph **A. Coverage** as found in **SECTION II – COVERED AUTOS LIABILITY COVERAGE**:

f. Newly Acquired Or Formed Organizations

Any organization you newly acquire or form, other than a partnership, joint venture, or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:

- (1) Coverage under this provision is afforded only until the 180th day after you acquire or form the organization or the end of the policy period, whichever is earlier;
- (2) Coverage under this provision does not apply to "bodily injury", "property damage", or "covered pollution cost or expense" that results from an "accident" that occurred before you acquired or formed the organization.

F. EMPLOYEE HIRED AUTOS

1. The following provision is added to subparagraph **1. Who Is An Insured** under paragraph **A. Coverage** as found in **SECTION II – COVERED AUTOS LIABILITY COVERAGE**:
 - g. Employee Hired Autos**

An "employee" of yours is an "insured" while operating an "auto" hired or rented under a contract or agreement in an "employee's" name, with your permission, while performing duties related to the conduct of your business.
2. The following provision is added to subparagraph **b.** under paragraph **5. Other Insurance** in **B. General Conditions** as found in **SECTION IV – BUSINESS AUTO CONDITIONS**:

For Hired Auto Physical Damage Coverage, any covered "auto" hired or rented by your "employee" under a contract in an "employee's" name, with your permission, while performing duties related to the conduct of your business is deemed to be a covered "auto" you own.

G. SUPPLEMENTARY PAYMENTS – INCREASED LIMITS

1. Subparagraph **(2)** as found in paragraph **a. Supplementary Payments** of provision **2. Coverage Extensions** under paragraph **A. Coverage (SECTION II – COVERED AUTOS LIABILITY COVERAGE)** is deleted and replaced by the following:
 - (2) Up to the limit of insurance shown in the Schedule above for Supplementary Payments – Bail Bonds Increased Limit for the cost of bail bonds (including bonds for related traffic law violations) required because of an "accident" we cover. We do not have to furnish these bonds.
2. Subparagraph **(4)** as found in paragraph **a. Supplementary Payments** of provision **2. Coverage Extensions** under paragraph **A. Coverage (SECTION II – COVERED AUTOS LIABILITY COVERAGE)** is deleted and replaced by the following:
 - (4) All reasonable expenses incurred by the "insured" at our request, including actual loss of earnings up to the limit of insurance shown in the Schedule above for Supplementary Payments – Loss of Earnings Increased Limit because of time off from work.

H. FELLOW EMPLOYEE COVERAGE – MANAGERS, OFFICERS, AND SUPERVISORS

Exclusion **5. Fellow Employee** under paragraph **B. Exclusions** as found in **SECTION II – COVERED AUTOS LIABILITY COVERAGE** is deleted and replaced with the following:

5. **Fellow Employee**

"Bodily injury" to:

 - a. Any fellow "employee" of the "insured" arising out of and in the course of the fellow "employee's" employment or while performing duties related to the conduct of your business. This exclusion does not apply to an "insured" who occupies a position as an officer, manager, or supervisor; or
 - b. The spouse, child, parent, brother, or sister of that fellow "employee" as a consequence of paragraph **a.** above.

I. TOWING AND LABOR BROADENED COVERAGE

Subparagraph **2. Towing And Labor** under paragraph **A. Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE** is deleted and replaced by the following:

2. Towing And Labor

We will pay up to the limit of insurance shown in the Schedule above for Towing And Labor Broadened Coverage – Private Passenger Type, Light Truck, Or Medium Truck Each Disablement for towing and labor costs incurred each time a covered "auto" that is a private passenger type, light truck (0 – 1,000 pounds GVWR), or medium truck (10,001 – 20,000 pounds GVWR) is disabled. However, the labor must be performed at the place of disablement.

With respect to disablement of a covered "auto" other than of the private passenger type, light truck, or medium truck, we will pay up to the limit of insurance shown in the Schedule above for Towing And Labor Broadened Coverage – All Other Vehicle Types Each Disablement for towing and labor costs incurred each time a covered "auto" other than a private passenger type, light truck, or medium truck is disabled. However, the labor must be performed at the place of disablement. The most we will pay for the total of all towing and labor costs during the policy period for all other vehicle types is the limit of insurance shown in the Schedule above for Towing And Labor Broadened Coverage – All Other Vehicle Types Aggregate Limit.

J. TRANSPORTATION EXPENSES – ALL COVERED AUTOS BROADENED COVERAGE EXTENSION

Coverage Extension **a. Transportation Expenses** under subparagraph **4. Coverage Extensions** as found in paragraph **A. Coverage (SECTION III – PHYSICAL DAMAGE COVERAGE)** is deleted and replaced by the following:

a. Transportation Expenses – All Covered Autos Broadened Coverage Extension

- (1) We will pay for temporary transportation expense incurred by you because of the total theft of a covered "auto". We will pay only for those covered "autos" for which you carry either Comprehensive Coverage or Specified Causes Of Loss Coverage. We will pay for temporary transportation expenses incurred during the period beginning 24 hours after the theft and ending, regardless of the policy's expiration, when the covered "auto" is returned to use or we pay for its "loss".

- (2) The most we will pay under this Transportation Expenses – All Covered Autos Broadened Coverage Extension per day is the limit of insurance shown in the Schedule above for Transportation Expenses – All Covered Autos Broadened Coverage Extension – Increased Limit Per Day, subject to the maximum limit of insurance shown in the Schedule above for Transportation Expenses – All Covered Autos Broadened Coverage Extension – Increased Maximum Limit.

K. RENTAL REIMBURSEMENT COVERAGE EXTENSION

The following Coverage Extension is added to paragraph **4. Coverage Extensions** as found in paragraph **A. Coverage (SECTION III – PHYSICAL DAMAGE COVERAGE)**:

c. Rental Reimbursement Coverage Extension

- (1) We will pay for necessary rental reimbursement expenses incurred by you for the rental of an "auto" because of "loss" to a covered "auto" for which you carry either Comprehensive Coverage or Specified Causes Of Loss Coverage. We will pay only for those expenses incurred during the policy period beginning 24 hours after the "loss" and ending, regardless of the policy's expiration, with the lesser of the following number of days:
- (a) The number of days reasonably required to repair or replace the covered "auto";
- (b) The number of days until we pay for its "loss", or if "loss" is caused by theft, the number of days it takes to locate the covered "auto", return it to you, and, if necessary, make necessary repairs; or
- (c) The number of days shown in the Schedule above for Rental Reimbursement Coverage Extension – Number Of Days.
- (2) This coverage does not apply while there are spare or reserve "autos" available to you for your operations.
- (3) The most we will under this Rental Reimbursement Coverage Extension per day is the limit of insurance shown in the Schedule above for Rental Reimbursement Coverage Extension – Any One Day, subject to the maximum limit of insurance shown in the Schedule above for Rental Reimbursement Coverage Extension – Any One Period.

(4) If "loss" results from the total theft of a covered "auto", we will pay under this Coverage Extension only that amount of your rental reimbursement expenses which is not already provided for under the Transportation Expenses – All Covered Autos Broadened Coverage Extension.

(5) Coverage under this Coverage Extension does not apply to rental reimbursement expenses covered by the RENTAL REIMBURSEMENT COVERAGE endorsement, if attached to and made a part of this policy.

(6) No deductibles apply to this coverage.

L. RETURN OF STOLEN COVERED AUTOS EXPENSE COVERAGE EXTENSION

The following Coverage Extension is added to paragraph 4. **Coverage Extensions** as found in paragraph A. **Coverage (SECTION III – PHYSICAL DAMAGE COVERAGE)**:

d. Return Of Stolen Covered Autos Expense Coverage Extension

We will pay for reasonable, necessary, and actual expenses incurred to facilitate the return of a stolen covered "auto" to you. We will only pay under this Coverage Extension for those covered "autos" for which you carry either Comprehensive Coverage or Specified Causes Of Loss Coverage. This coverage will only apply to vehicles recovered inside the 48 contiguous United States. This coverage does not apply to an "auto" we deem a total "loss".

Payments provided under this Coverage Extension are included within, and do not increase, the limits of insurance shown in the Declarations for Comprehensive Coverage or Specified Causes Of Loss Coverage with respect to the stolen covered "auto".

No deductible applies to this Coverage Extension.

M. VACATION EXPENSE ALLOWANCE COVERAGE EXTENSION

The following Coverage Extension is added to paragraph 4. **Coverage Extensions** as found in paragraph A. **Coverage (SECTION III – PHYSICAL DAMAGE COVERAGE)**:

e. Vacation Expense Allowance Coverage Extension

(1) We will pay for reasonable and actual extra expenses incurred when a travel trailer, "camper", or motor home shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations as a covered "auto" for Physical Damage

Coverage and the travel trailer, "camper" or motor home:

(a) Is damaged or destroyed; and

(b) Is uninhabitable,

while being used for vacation purposes during the policy period indicated in the Declarations.

(2) The extra expenses must be supported by receipts or other valid evidence provided to us upon our request.

(3) The most we will pay under this Coverage Extension per day is the limit of insurance shown in the Schedule above for Vacation Expense Allowance Coverage Extension – Limit Per Day, subject to the maximum limit of insurance shown in the Schedule above for Vacation Expense Allowance Coverage Extension – Maximum Limit.

AUDIO, VISUAL, AND DATA ELECTRONIC EQUIPMENT COVERAGE

The following Coverage is added to paragraph A. **Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

5. Audio, Visual, And Data Electronic Equipment Coverage

a. We will pay with respect to a covered "auto" shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations for "loss" to:

(1) Any electronic equipment that receives or transmits audio, visual, or data signals and that is not designed solely for the reproduction of sound. This coverage applies only if the equipment is permanently installed in the covered "auto" at the time of the "loss", or the equipment is removable from a housing unit which is permanently installed in the covered "auto" at the time of the "loss", and such equipment is designed to be solely operated by use of the power from the "auto's" electrical system, in or upon the covered "auto"; and

(2) Any accessories used with the electronic equipment described in paragraph 5.a. above. However, this does not include tapes, records, or discs.

b. With respect to the provisions of this Audio, Visual and Data Electronic Equipment Coverage, subparagraph 5. under paragraph B. **Exclusions** in **SECTION III – PHYSICAL DAMAGE**

COVERAGE is deleted and replaced by the following:

5. Exclusions **4.c.** and **4.d.** do not apply to:

- a. Electronic equipment that receives or transmits audio, visual, or data signals and that is not designed solely for the reproduction of sound and any accessories used with such electronic equipment, if such equipment is designed to be operated solely by use of the power from the "auto's" electrical system, that, at the time of "loss", is:

- (1) Permanently installed in or upon the covered "auto";
- (2) Removable from a housing unit which is permanently installed in or upon the covered "auto";

- b. Equipment, other than electronic equipment that receives or transmits audio, visual, or data signals, designed to be operated solely by use of the power from the "auto's" electrical system that, at the time of "loss", is:

- (1) Permanently installed in or upon the covered "auto";
- (2) Removable from a housing unit which is permanently installed in or upon the covered "auto";
- (3) An integral part of the same unit housing any electronic equipment described in Paragraphs **a.** and **b.** above; or
- (4) Necessary for the normal operation of the covered "auto" or the monitoring of the covered "auto's" operating system.

- c. With respect to the provisions of this Audio, Visual and Data Electronic Equipment Coverage, the following exclusion is added to paragraph **B. Exclusions** in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

7. We will not pay, under this Audio, Visual and Data Electronic Equipment Coverage for any electronic equipment or accessories used with such electronic equipment that is:

- a. Necessary for the normal operation of the covered "auto" or the

monitoring of the covered "auto's" operating system; or

- b. An integral part of the same unit housing any sound reproducing equipment designed solely for the reproduction of sound if the sound reproducing equipment is permanently installed in the covered "auto" in the opening of the dash or console normally used by the manufacturer for the installation of a radio. :

- d. The most we will pay for all "loss" to audio, visual or data electronic equipment and any accessories used with this equipment under this Audio, Visual and Data Electronic Equipment Coverage as a result of any one "accident" is the lesser of:

- (1) The actual cash value of the damaged or stolen property as of the time of the "loss";
- (2) The cost of repairing or replacing the damaged or stolen property with other property of like kind and quality; or
- (3) The limit of insurance shown in the Schedule above for Audio, Visual and Data Electronic Equipment Coverage.

- e. An adjustment for depreciation and physical condition will be made in determining actual cash value at the time of the "loss".
- f. If a repair or replacement results in better than like kind or quality, we will not pay for the amount of betterment.
- g. No deductible applies to this coverage.
- h. The insurance provided by this Audio, Visual and Data Electronic Equipment Coverage is excess over any other valid and collectible insurance.

O. AUTO LOAN/LEASE GAP COVERAGE

The following Coverage is added to paragraph **A. Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

6. Auto Loan/Lease Gap Coverage

- a. In the event of a total "loss" to a covered "auto" shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations, we will pay any unpaid amount due on the lease or loan for a covered "auto", less:
 - (1) The amount paid under the policy's Physical Damage Coverage; and
 - (2) Any:
 - (a) Overdue or any deferred lease/loan payments at the time of the "loss";
 - (b) Financial penalties imposed under a lease for excessive use, abnormal wear and tear, or high mileage;
 - (c) Security deposits not returned by the lessor;
 - (d) Costs for extended warranties, Credit Life Insurance, Health, Accident or Disability Insurance purchased with the loan or lease; and
 - (e) Carry-over balances from previous loans or leases.
- b. The most we will pay under this Coverage in the event of a total "loss" to a covered "auto" is the amount shown in the Schedule above for Auto Loan/Lease Gap Coverage.
- c. The insurance provided by this Auto Loan/Lease GAP Coverage is excess over any other valid and collectible insurance, including but not limited to, any coverage provided by or purchased from the lessor or any financial institution.

P. CAMPER BODIES COVERAGE

The following Coverage is added to paragraph **A. Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

7. Camper Bodies Coverage

If Comprehensive Coverage or Specified Causes Of Loss Coverage is provided for a covered "auto", then in the event of a "loss" to a "camper" detached from such covered "auto", the Physical Damage Coverage applicable to the covered "auto" will also apply to the detached "camper" as if it were part of the covered "auto" on which it is rated.

Q. CONTENTS OF A TRAVEL TRAILER, CAMPER, OR MOTOR HOME COVERAGE

The following Coverage is added to paragraph **A. Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

8. Contents Of A Travel Trailer, Camper, Or Motor Home Coverage

- a. When a travel trailer, "camper", or motor home is shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations as a covered "auto" for Physical Damage Coverage, we will pay up to the limit of insurance shown in the Schedule above per occurrence for Contents Of A Travel Trailer, Camper, Or Motor Home Coverage – Inside for "loss" to personal property owned by you or by a "family member" that is inside the travel trailer, "camper", or motor home at the time of "loss".

We will also pay up to the limit of insurance shown in the Schedule above per occurrence for Contents Of A Travel Trailer, Camper, Or Motor Home Coverage – Outside for "loss" to personal property owned by you or by a "family member" that is outside the travel trailer, "camper", or motor home at the time of "loss".
- b. We will not pay for "loss" to:
 - (1) Records or accounts, money, money orders, bank certified checks, bullion, deeds, contracts, evidences of debt, securities, tokens or tickets, stamps in current use, manuscripts, accounts receivable, or valuable records;
 - (2) Digital tokens of any kind, by whatever name known, including but not limited to, non-fungible tokens, crypto tokens, or any other type of digital token;
 - (3) Precious metals or alloys;

- (4) Fine arts or other personal property that is rare or has historic or artistic value;
 - (5) Articles or goods carried or held for exhibition, show, sale, storage, or repairs, or for later delivery;
 - (6) Business or office furniture and equipment;
 - (7) Animals;
 - (8) Aircraft, "autos", watercraft, or any other motorized vehicles, including any equipment, furnishings, or appurtenances;
 - (9) Equipment or accessories while your travel trailer, "camper", or motor home is leased or rented to any organization or any person other than you or a "family member";
 - (10) Perishable personal property which has spoiled;
 - (11) Contraband or property in the course of illegal transportation or trade;
 - (12) Personal property that cannot be replaced with similar property of comparable kind, condition, and quality, or that cannot be replaced with new property at actual cash value;
 - (13) Personal property that is missing where the only evidence of the "loss" is a shortage disclosed on taking inventory or other instances where there is no physical evidence to show what happened to the property.
- c. The most we will pay for "loss" under this Contents Of A Travel Trailer, Camper, Or Motor Home Coverage is the lesser of the following:
- (1) The actual cash value of the personal property at the time of "loss";
 - (2) The cost of repairing the damage; or
 - (3) The cost of replacing the damaged personal property with other personal property of like kind, condition, quality, and value.
- d. An adjustment for depreciation and physical condition will be made in determining actual cash value in the event of a total "loss".

R. CUSTOM SIGNS AND DECORATIONS COVERAGE

The following Coverage is added to paragraph **A. Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

9. Custom Signs And Decorations Coverage

- a. Physical Damage Coverage on a covered "auto" shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations may be extended to cover "loss" to custom signs and decorations, including custom murals, paintings, or other decals or graphics.
- b. The most we will pay under this Custom Signs And Decorations Coverage in any one occurrence is the lesser of the following:
 - (1) The actual cash value of the damaged or stolen custom signs and decorations at the time of "loss";
 - (2) The cost of repairing or replacing the damaged or stolen custom signs and decorations; or
 - (3) The amount shown in the Schedule above for Custom Signs And Decorations Coverage.

HIRED AUTO PHYSICAL DAMAGE COVERAGE

The following Coverage is added to paragraph **A. Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

10. Hired Auto Physical Damage Coverage

If hired "autos" are covered "autos" for Liability Coverage under this policy and if Comprehensive Coverage, Specified Causes Of Loss Coverage, or Collision Coverage is provided under this Coverage Form for any "auto" you own, then such Physical Damage Coverages are extended to apply to "autos" you hire of like kind and use, without a driver, subject to the following provisions:

- a. The most we will pay per any one "accident" or "loss" under this Hired Auto Physical Damage Coverage is the lesser of:
 - (1) The limit of insurance shown in the Schedule above for Hired Auto Physical Damage Coverage;
 - (2) The actual cash value, including an adjustment for depreciation and physical condition in the event of a total "loss"; or
 - (3) The cost to repair or replace the hired "auto",

minus a deductible that is equal to the largest deductible applicable to any owned "auto" for that Physical Damage Coverage. No deductible applies to "loss" caused by fire or lightning.
- b. Subject to the limit of insurance and deductible provisions provided in subparagraph **a.** above, we will provide

coverage equal to the broadest Physical Damage Coverage applicable to any owned covered "auto" shown in the Declarations.

- c. This Hired Auto Physical Damage Coverage does not apply to any "auto" you lease, hire, rent or borrow from any of your "employees", partners (if you are a partnership), members (if you are a limited liability company), or members of their households.
- d. If a limit of insurance for Comprehensive Coverage, Specified Causes Of Loss Coverage, or Collision Coverage is shown in **ITEM FOUR: SCHEDULE OF HIRED OR BORROWED COVERED AUTO COVERAGE AND PREMIUMS** of the Business Auto Declarations, then the limit of insurance shown in the Schedule above for Hired Auto Physical Damage Coverage will be excess of the applicable limit of insurance shown in **ITEM FOUR: SCHEDULE OF HIRED OR BORROWED COVERED AUTO COVERAGE AND PREMIUMS** of the Business Auto Declarations.
- e. This Hired Auto Physical Damage Coverage is excess over any other valid and collectible insurance.

T. NEW VEHICLE REPLACEMENT COST U. COVERAGE

The following Coverage is added to paragraph **A. Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

11. New Vehicle Replacement Cost Coverage

- a. In the event of a total "loss" to a covered "auto" you own shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations, we will pay to replace such covered "auto", minus any applicable deductible shown in **ITEM THREE: SCHEDULE OF OWNED AUTOS** of the Business Auto Declarations, if:
 - (1) Comprehensive Coverage and Collision Coverage are provided for that "auto" at the time of "loss";
 - (2) The total "loss" occurs within 180 days of after you become the original owner of that "auto"; and
 - (3) The mileage shown on the odometer of that "auto" at the time of "loss" is less than 5,000 miles.
- b. This coverage applies only to a covered "auto" that is:
 - (1) Of the private passenger type;

- (2) A light truck (0 – 1,000 pounds GVWR); or
- (3) A medium truck (10,001 – 20,000 pounds GVWR).

- c. The most we will pay will be the amount to replace a covered "auto" with a new vehicle of the same make, model, trim level, and equipment, or an equivalent, including taxes but excluding any extended warranties and licensing fees.
- d. If a new vehicle with the same make, model, trim level, and equipment, or an equivalent, is not available, our limit of liability will be the amount to replace the covered "auto" with a new vehicle that is:
 - (1) Similar in class, body type, size, and equipment; and
 - (2) Similar in price to the price you paid for the covered "auto" that is being replaced but not to exceed an amount equal to 110% of the Manufacturer's Suggested Retail Price (MSRP) of the covered "auto" being replaced.
- e. No one will be entitled to receive duplicate payments for the same elements of "loss" under the Coverage and the Physical Damage Coverage provided by the BUSINESS AUTO COVERAGE FORM.

PERSONAL EFFECTS COVERAGE

The following Coverage is added to paragraph **A. Coverage** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

12. Personal Effects Coverage

- a. Physical Damage Coverage on an owned covered "auto" may be extended to "loss" to your personal effects or, if you are an individual, the personal effects of a "family member", that are in a covered "auto" which sustains other covered "loss" under Comprehensive Coverage, Specified Causes Of Loss Coverage, or Collision Coverage at the time of the "loss" to personal effects.
- b. For the purposes of this Personal Effects Coverage, personal effects means tangible personal property that is worn or carried by an "insured".

Personal effects does not include:

 - (1) Tools, radar or laser detectors, or tapes, records, discs, or similar audio, visual, or data electronic equipment;
 - (2) Records or accounts, money, money orders, bank certified checks, bullion, deeds, contracts, evidences of debt, gift cards, securities, stamps in

- current use, tokens or tickets, V. manuscripts, accounts receivable, valuable records, or digital tokens of any kind, by whatever name known, including, but not limit to, non-fungible tokens, crypto tokens, or any other type of digital token;
- (3) Jewelry, precious metals, or alloys;
 - (4) Fine arts or other personal property that is rare or has historic or artistic value;
 - (5) Articles or goods carried or held for exhibition, show, sale, storage, or repairs, or for later delivery;
 - (6) Contraband or property in the course of illegal transportation or trade; or
 - (7) Personal property that cannot be replaced with similar property of comparable kind, condition, and quality, or that cannot be replaced with new property at actual cash value; or
 - (8) Personal property that is missing where the only evidence of the "loss" is a shortage disclosed on taking inventory or other instances where there is no physical evidence to show what happened to the property.
- c. The most we will pay in any one "accident" or "loss" under this Personal Effects Coverage is the lesser of:
- (1) The limit of insurance shown in the Schedule above for Personal Effects Coverage;
 - (2) The actual cash value; including an adjustment for depreciation and physical condition in the event of a total "loss";
 - (3) The cost of repairing the damaged property; or
 - (4) The cost of replacing the damaged or lost property with new property of comparable kind and quality.
- d. No deductible applies to this coverage.
- e. The insurance provided by this Personal Effects Coverage is excess over any other valid and collectible insurance covering such property.

W.

TAPES, RECORDS, AND DISCS COVERAGE

The following Coverage is added to paragraph **A. Coverage as found in SECTION III – PHYSICAL DAMAGE COVERAGE**:

13. Tapes, Records, And Discs Coverage

- a. We will pay for "loss" to tapes, records, discs, or other similar audio, visual, or data electronic devices designed for use with audio, visual, or data electronic equipment.
- (1) We will pay only if the tapes, records, discs, or other similar audio, visual, or data electronic devices:
 - (a) Are your property or that of a "family member"; or
 - (b) Are the property of an "employee" using a covered "auto" in your business affairs at the time of the "loss"; and
 - (c) Are in a covered "auto" which sustains other covered "loss" under Comprehensive Coverage or Collision Coverage at the time of the "loss" to tapes, records, compact discs, or other similar devices.
 - (2) Exclusion **4.a.** under paragraph **B. Exclusions** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE** does not apply with respect to this Tapes, Records, And Discs Coverage.
 - (3) The most we will pay for "loss" per occurrence under this Tapes, Records, And Discs Coverage is the amount shown in the Schedule above for Tapes, Records, And Discs Coverage.
 - (4) Physical Damage Coverage provisions apply to this Tapes, Records, And Discs Coverage, except that any deductible applicable to Comprehensive Coverage or Collision Coverage does not apply to this Tapes, Records, And Discs Coverage.

AIRBAG ACCIDENTAL DEPLOYMENT COVERAGE

The following is added to subparagraph **3.** under paragraph **B. Exclusions** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

If Comprehensive Coverage or Specified Causes Of Loss Coverage is purchased on a covered "auto", the exclusion for "loss" caused by or resulting from mechanical or electrical breakdown, as described in paragraph **3.a.** above, does not apply with respect to the accidental discharge of an airbag in such covered "auto" if the airbag is repaired or replaced in a manner acceptable to us.

Coverage provided under this provision is included within, and does not increase, the limits of insurance shown in the Declarations for Comprehensive Coverage or Specified Causes Of Loss Coverage. This coverage is excess over any other valid and collectible insurance or warranty. No deductible will apply to such "loss".

X. GLASS REPAIR DEDUCTIBLE WAIVER

The following is added to paragraph **D. Deductible** as found in **SECTION III – PHYSICAL DAMAGE COVERAGE**:

3. If Comprehensive Coverage or Specified Causes Of Loss Coverage is purchased on a covered "auto", no deductible applies to the cost of repairing damaged safety glass on the covered "auto" if the glass is repaired in a manner acceptable to us instead of replaced.

Y. KNOWLEDGE OF AN ACCIDENT, CLAIM, SUIT, OR LOSS

The following provisions are added to subparagraph **2. Duties In The Event Of Accident, Claim, Suit Or Loss** under paragraph **A. Loss Conditions** as found in **SECTION IV – BUSINESS AUTO CONDITIONS**:

- d. Knowledge of an "accident", claim, "suit", or "loss" by an agent, servant, or "employee" of an "insured", other than an officer or insurance manager (if you are a corporation), a partner (if you are a partnership), or a manager (if you are a limited liability company), does not imply knowledge of the "insured" unless the "insured" has received notice from the agent, servant, or "employee".
- e. Failure by an agent, servant, or "employee" of an "insured", other than an officer or insurance manager (if you are a corporation), a partner (if you are a partnership), or a manager (if you are a limited liability company) to notify us of an "accident", claim, "suit", or "loss" will not jeopardize your coverage.

Z. UNINTENTIONAL FAILURE TO DISCLOSE HAZARDS

The following provision is added to paragraph **A. Loss Conditions** as found in **SECTION IV – BUSINESS AUTO CONDITIONS**:

6. Unintentional Failure To Disclose Hazards

We will not deny coverage under this policy because of an unintentional failure to disclose all exposures or hazards existing on the effective date of the Business Auto Policy or because of an unintentional error or omission in any of the information provided by you and relied upon by us in the issuance of this policy.

However:

- a. You must report the undisclosed exposure or hazard, or unintentional error or omission, to us as soon as practicable after its discovery.
- b. This provision does not affect our right to collect any additional premium associated with such unintentional failure or our right to cancel or non-renew this policy.

AA. WAIVER OF TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO US (WAIVER OF SUBROGATION) – AUTOMATIC WHEN REQUIRED BY WRITTEN CONTRACT OR AGREEMENT

The Transfer Of Rights Of Recovery Against Others To Us Loss Condition (subparagraph **5.** under paragraph **A. Loss Conditions** as found in **SECTION IV – BUSINESS AUTO CONDITIONS**) does not apply to any person(s) or organization(s) for whom you are required to waive subrogation with respect to the coverage provided under this Coverage Form, but only to the extent that subrogation is waived:

- a. Under a written contract or agreement with such person(s) or organization(s); and
- b. Prior to the "accident" or the "loss".

AB. With respect to the provisions of this endorsement, the following definitions are added to **SECTION V – DEFINITIONS**:

- R.** "Camper" means a portable dwelling unit without axles or wheels that has been manufactured for attachment on the bed of a pickup truck to be used for casual travel or camping.
- S.** "Family member" means a person related to you by blood, marriage or adoption who is a resident of your household, including a ward or foster child.

